

DATADOG, INC.

(NASDAQ: DDOG)

An Elite Franchise Priced as an Immortal One

REDUCE — \$100.00 Target

Equity Research Note · Technology — Application Software · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$100.00	\$277.22	-63.9%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$99.5 bn (334.9 mn sh x \$277.22)	Price vs. sales	~30x
Enterprise value	~\$95.8 bn (net cash ~\$3.7 bn)	Net revenue retention	Moderating from 130%+ peaks
52-week range	~\$98.01 - \$292.72	Next catalyst	Q3'26 results (early Nov)
TTM revenue	~\$3.4 bn		

1 Investment Thesis

Datadog built the best observability platform in cloud computing: twenty-plus products on a single pane of glass, best-in-class land-and-expand motion, and net revenue retention that was once the envy of software. We respect the product deeply. But \$277.22 prices the equity at more than \$90 billion of enterprise value against roughly \$3 billion of revenue — around 30 times sales — for a business whose growth has already decelerated from the 60s into the 20s. Our probability-weighted fair value is \$100.00, implying 64% downside. This is a REDUCE rather than a SELL only because the underlying franchise is genuinely elite; the business is fine, the multiple is not.

Our central judgment is that the observability layer is being commoditized at the edges faster than the market appreciates. OpenTelemetry has standardized data collection, which erodes the proprietary-agent advantage Datadog was built on; Grafana, Elastic, and the hyperscalers' native tooling all compete credibly at lower price points. Meanwhile Datadog's usage-based pricing faces a subtle but powerful deflationary force: as customers optimize cloud spend — the defining enterprise behavior of the last three years — observability bills are among the first line items scrutinized, because they scale with the very infrastructure customers are trying to shrink.

AI workloads are the standard bull argument: more data, more complexity, more monitoring. We agree volumes grow; we disagree that Datadog captures the economics. AI-native architectures generate enormous telemetry at falling unit prices, and the vendors best positioned to monetize AI observability are the model and infrastructure providers themselves. As enterprises deploy AI agents, the ratio of machine-generated to human-generated telemetry explodes while willingness to pay per unit of telemetry falls. Datadog benefits from the volume and suffers on the unit price; net, we expect revenue per unit of monitored infrastructure to decline over time. This is the classic innovator's treadmill: run faster in volume to stand still in price.

The arithmetic is stark: even capitalizing our bull-case 2030 revenue at a premium multiple and discounting back, the present value cannot approach \$277. The price requires economics beyond the bull case. Software history is unambiguous: when growth decelerates from 60% to 20%, multiples compress from 30x sales toward 8-10x regardless of quality. Datadog's free-cash-flow margins, already in the 20s, can improve — but not fast enough to offset a two-thirds derating. Our fair value assumes the business executes well and the multiple normalizes anyway: the business can double revenue and the stock can fall by two-thirds.

Why 30x sales cannot survive the deceleration

- **No software company has sustained 20x-plus sales multiples at \$10 billion-plus revenue scale.** Our 8x exit sales multiple in the base case is the multiple the market has historically paid for scaled SaaS growing in the high teens with 30% free-cash-flow margins — ServiceNow, Adobe, and Salesforce all traded there at similar life-cycle stages.
- **Competition is no longer theoretical.** Grafana Labs has built a credible open-source-based alternative; Elastic has stabilized; and the hyperscalers bundle native monitoring that is good enough for a growing share of workloads and free at the point of decision. Good-enough-plus-bundled is winning more deals than it used to.
- **Heavy stock-based compensation dilutes shareholders even as the business grows.** The per-share math is worse than the enterprise math — a quiet tax on the compounding the multiple assumes.

2 Business Overview — What Datadog Is Doing

(New York, New York)

Datadog, Inc., headquartered in New York and founded in 2010, provides a SaaS observability and security platform spanning infrastructure monitoring, application performance monitoring, log management, digital experience, and cloud security. The platform is sold primarily on consumption-based pricing, which drives the celebrated land-and-expand dynamic: customers adopt one product and expand to many. Revenue is roughly \$3 billion annually with a large enterprise customer base, and the company has consistently posted among the highest net retention rates in enterprise software, albeit moderating from peaks above 130%.

The product engine remains strong — new security and AI-adjacent SKUs will contribute — but each incremental product faces a more crowded field than the last, and pricing power in core infrastructure monitoring is structurally declining as collection commoditizes. Margins should expand as the company scales — the model has genuine operating leverage — but multiple compression will dominate the equity math.

What the company is doing now

- **Land-and-expand still works; the expansion is getting pricier.** Customers adopt one product and expand to many — but procurement is increasingly deciding on price, and net revenue retention has been moderating for tangible reasons.
- **Security and AI-adjacent SKUs are the growth offsets.** New products contribute, but each faces a more crowded field than the last, and none commands the pricing power the original infrastructure-monitoring wedge enjoyed.
- **Consumption pricing cuts both ways.** It drove the celebrated expansion dynamic on the way up; in an era of cloud-spend optimization, it makes Datadog's revenue the first line item customers scrutinize.

3 Financial Analysis

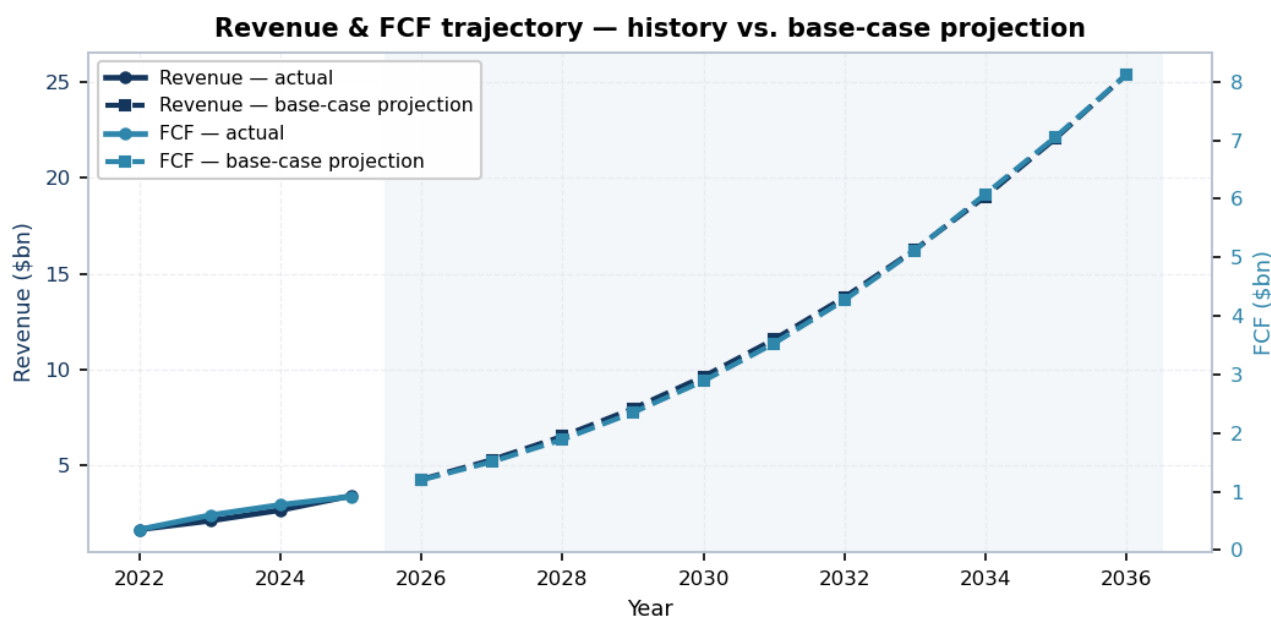
\$ bn	FY2023	FY2024	FY2025
Revenue	2.128	2.684	3.427
Revenue growth	+27.0%	+26.1%	+27.7%
Free cash flow	0.598	0.775	0.915
Net income	0.049	0.184	0.108

Source: company filings via yfinance; fiscal year ends Dec 31.

Revenue grew from \$1.68 billion in FY2022 to \$3.43 billion in FY2025 — a genuine doubling — while free cash flow expanded from \$354 million to \$915 million, with FCF margins in the high 20s. The business economics are excellent. Net income, however, remains thin (\$108 million in FY2025) because stock-based compensation absorbs much of the operating leverage — the per-share story is structurally worse than the enterprise story.

Growth has already decelerated from the 60s into the high 20s (27.7% in FY2025). The trajectory is clear: mid-teens growth by decade-end even in our base case. At 30x sales, the market is pricing a reacceleration that the competitive and pricing evidence does not support.

Revenue & cash-flow trajectory

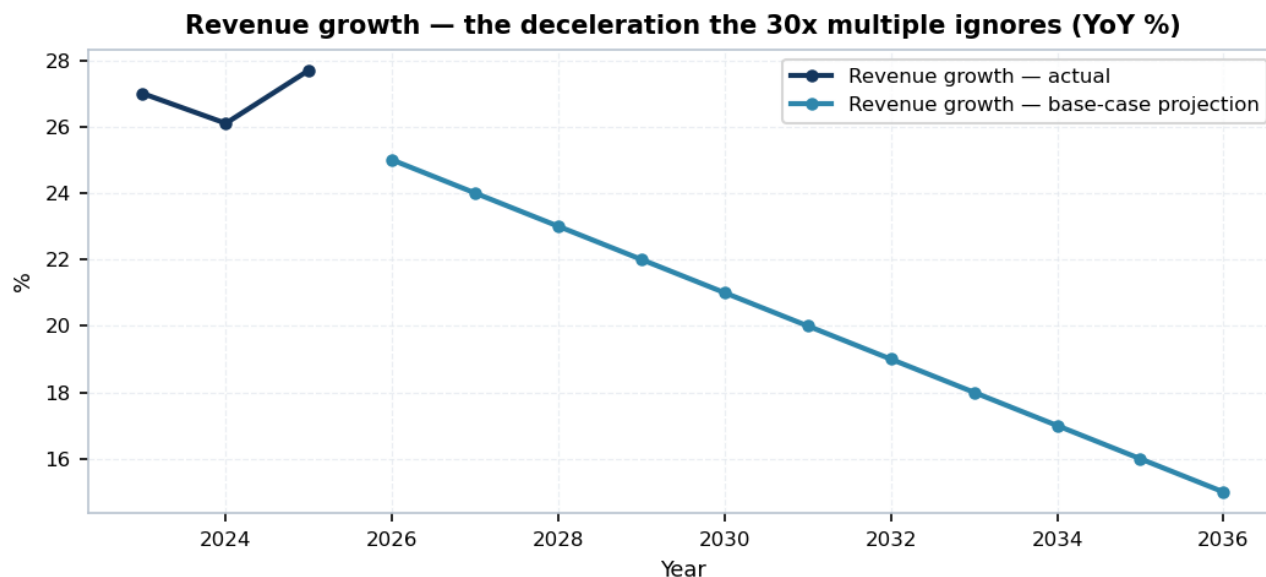


History: company filings via yfinance (FY ends Dec 31). Projection: base-case path from this note's scenario model — growth decelerates toward the mid-teens, FCF margins expand into the low 30s.

4 Moat & Competition

- **The platform is the moat — twenty-plus products, one pane of glass.** Datadog wins head-to-head evaluations on product depth, and the integrated platform creates genuine switching costs once customers standardize on it.
- **Land-and-expand is a real distribution advantage.** Best-in-class expansion motion with historically elite net retention — moderating, but still among software's best.
- **OpenTelemetry erodes the collection moat.** Standardized data collection commoditizes the proprietary-agent advantage Datadog was built on; the moat is narrowing at the edges where competition is fiercest.
- **The hyperscalers own the bundle.** AWS, Azure, and GCP bundle native monitoring that is good enough for a growing share of workloads — and free at the point of decision. Datadog must win on depth every renewal.

Revenue growth — the deceleration the 30x multiple ignores (YoY %)



5 Valuation — 10-year scenario DCF, Fair Value \$100

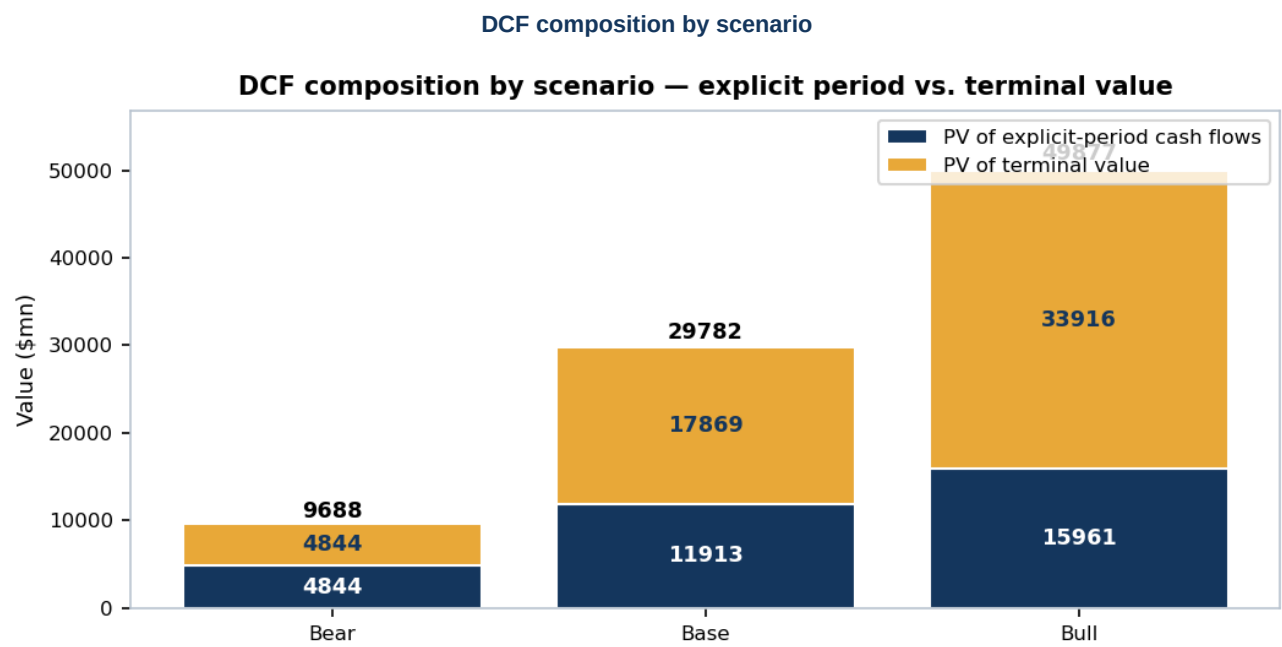
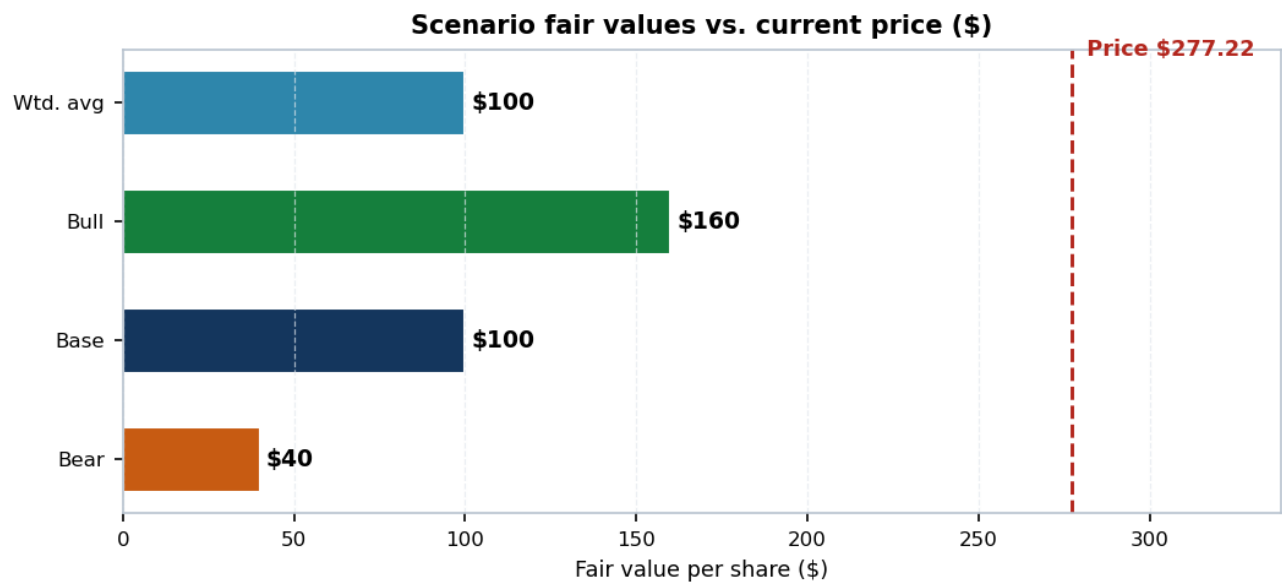
We value Datadog on a probability-weighted scenario DCF with a 12% base discount rate, reflecting competitive and multiple-compression risk in enterprise software (bear +250bp at 14.5%, bull –150bp at 10.5%). Terminal growth is 1.5% / 2.0% / 2.5% on normalized cash flows at through-cycle margins — never peak.

In the bear case, consumption growth stalls near 10%, pricing pressure intensifies, and the exit multiple falls to 6x sales — implying value near \$40. In the base case, revenue compounds in the low 20s through decade-end, free-cash-flow margins expand into the low 30s, and an 8x exit sales multiple — appropriate for a scaled, still-growing SaaS leader — supports our \$100.00 target. In the bull case, AI observability becomes a genuine supercycle and value approaches \$160.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Consumption growth stalls near 10%; pricing pressure intensifies; exit multiple falls to 6x sales	+10%	25%	14.5% / 1.5%	50%	\$40.00
Base	Revenue compounds in the low 20s through decade-end; FCF margins expand into the low 30s; 8x exit sales multiple	+22%	32%	12.0% / 2.0%	60%	\$100.00
Bull	AI observability becomes a genuine supercycle; Datadog captures premium AI-SKU economics at scale	+30%	38%	10.5% / 2.5%	68%	\$160.00
Wtd. avg	Probability-weighted (25/50/25) → \$100.00 target					\$100.00

Scenario FVs calibrated from the note's valuation ranges (bear: near \$40; base: \$100; bull: approaches \$180); $0.25 \times \$40 + 0.50 \times \$100 + 0.25 \times \$160 = \100.00 . Composition bars decompose each scenario's equity value (FV x 334.9 mn diluted shares, less \$3.7 bn net cash) at the stated terminal-value shares.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Enterprise cloud-spend optimization.** Could re-accelerate, directly pressuring Datadog's consumption-based revenue.
- **Competitive pressure.** Grafana, Elastic, hyperscaler-native tooling, and OpenTelemetry-based alternatives compressing pricing.
- **Multiple compression.** The dominant risk to the shares regardless of execution — growth deceleration from 60% to 20% has always compressed software multiples from 30x toward 8-10x.
- **Stock-based compensation.** Heavy SBC dilutes shareholders even as the business grows.
- **AI value capture shifting.** AI workloads shifting observability economics toward infrastructure and model providers.

What would change our mind

Upgrade on net revenue retention re-accelerating above 130% with demonstrated pricing power — not just seat expansion; sustained free-cash-flow margins above 35% proving the model scales better than we assume; or evidence that Datadog is capturing AI-observability economics through premium-priced AI SKUs at material scale. A derating toward our \$100 fair value would make the franchise's quality an attractive risk/reward.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.